

Stora Enso Oyj

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COMPANY PROFILE

Stora Enso is an integrated forest-products group producing consumer cartonboard, containerboard, corrugated packaging, market pulp, sawn and engineered wood products, and emerging wood-based biomaterials. The group also owns substantial Nordic forest assets. Its earnings combine asset-backed timber value, commodity conversion spreads, packaging demand and the operational ramp-up of major industrial investments.

RECOMMENDATION

HOLD

12-month horizon

CURRENT PRICE

9.82 EUR

as of report date

TARGET PRICE

9.80 EUR

12-month fundamental

IMPLIED UPSIDE

-0.2%

vs. current price

MARKET CAP

EUR 7.7 bn

shares × price

ENTERPRISE VALUE

EUR 11.4 bn

mcap + EV adjustments

P/E 2026E

34.0×

EV/EBITDA 2026E

8.0×

FCF YIELD 2026E

0.1%

DIVIDEND YIELD 2026E

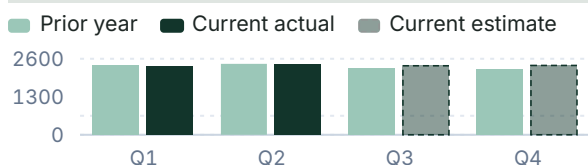
2.4%

NET DEBT / EBITDA 2026E

2.6×

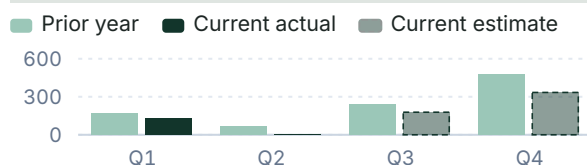
Quarterly net sales

EUR millions · prior year vs current year



Quarterly EBIT

EUR millions · prior year vs current year



RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION HOLD 12-month horizon	TARGET PRICE 9.80 EUR 12-month fundamental	CURRENT PRICE 9.82 EUR as of report date	IMPLIED UPSIDE -0.2% vs. current price
MARKET CAP EUR 7.7 bn shares × price	ENTERPRISE VALUE EUR 11.4 bn mcap + EV adjustments	P/E · EV/EBITDA 2026E 34.0x · 8.0x history + peers, see p. 18–19	FCF · DIV YIELD 2026E 0.1% · 2.4%



01 Forest value is real but not free

The retained Swedish forest estate is supported by a EUR 5.7bn disclosed fair value and a EUR 900m arm's-length disposal, but tax and capital-structure claims prevent treating gross forest NAV as equity value.

EUR 6.0bn EV allocation

02 Oulu determines the industrial rerating

The new line can add approximately EUR 800m of mature sales, yet qualification, utilisation and production cost—not addressable market size—determine whether the investment earns its cost of capital.

750kt annual capacity

03 Cash conversion remains the constraint

The model forecasts EUR 6m of 2026 FCFF before improvement to EUR 476m in 2027, while leverage remains above two times EBITDA. Valuation therefore cannot rely on headline EBITDA alone.

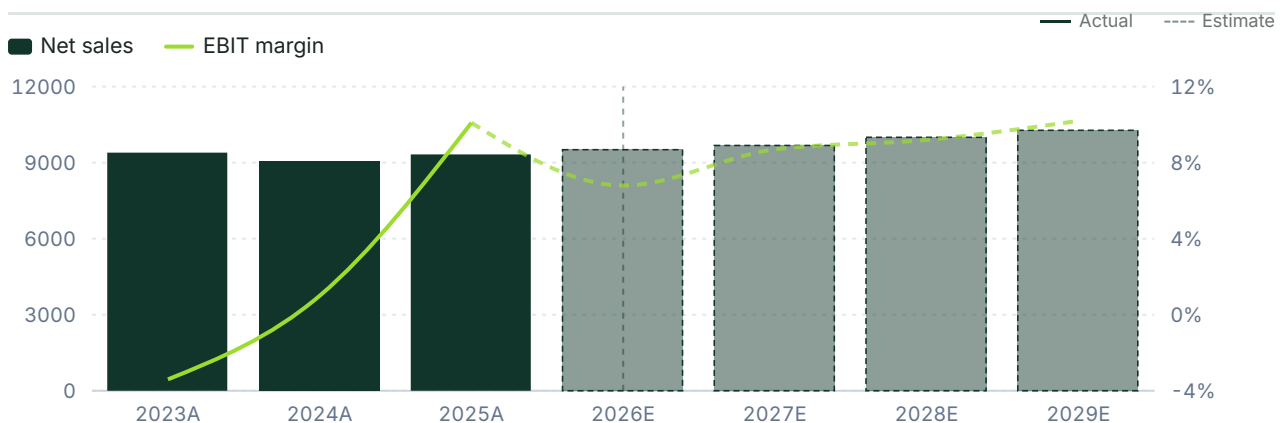
2.62x 2026E net debt/EBITDA

THESIS BREAKER

A simultaneous failure of Oulu economics and a material haircut to post-tax forest value would invalidate the HOLD case.

Net sales and EBIT margin

EUR millions; EBIT margin on right axis



SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.



CURRENT PRICE 9.82 EUR 21 August 2026	TARGET PRICE 9.80 EUR 12-month	IMPLIED UPSIDE -0.2% vs. current	52-WEEK HIGH 12.26 EUR past 12m
52-WEEK LOW 8.50 EUR past 12m	1-YEAR CHANGE -1.9% price only	3-YEAR CHANGE -9.9% price only	REPORT DATE 21 August 2026

READING THE MOVE

the evidence supports three valuation forces rather than one share-price narrative—weak 2023–2024 industrial profitability, the capital-intensive Oulu ramp and the proposed separation of Swedish forests. H1 2026 showed better adjusted EBIT, but Q3 maintenance and working-capital absorption delay cash conversion. No source in the register establishes the cause of every daily price move. The EUR 9.82 target is therefore anchored to division economics, not chart momentum.

VALUE BREAKDOWN · PART 1

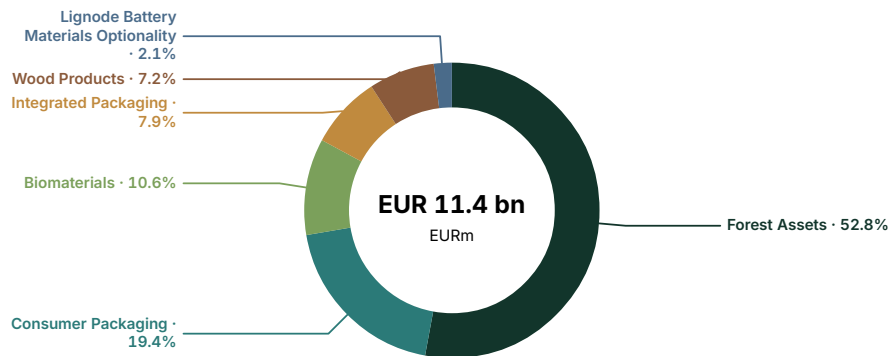
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

EUR millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. "Reported" rows match a verified company-reported segment; "Modelled allocation" rows are model-side splits. Business divisions may differ from company-reported accounting segments.

	EV	EV %	REVENUE	REV %	COMP. EBIT	COMP. EBIT % OF TOTAL	BASIS
Forest Assets	6,000	52.8%	360	3.9%	68	12.9%	Modelled allocation
Consumer Packaging	2,200	19.4%	3,510	37.6%	129	24.4%	Reported
Biomaterials	1,200	10.6%	1,233	13.2%	185	35.0%	Reported
Integrated Packaging	900	7.9%	2,274	24.4%	74	14.0%	Reported
Wood Products	815	7.2%	1,950	20.9%	70	13.3%	Modelled allocation
Lignode Battery Materials Optionality	244	2.1%	0	0.0%	0	0.0%	Modelled allocation
Total	11,359	100.0%	9,326	100.0%	528	99.6%	—

VALUE BREAKDOWN · PART 2

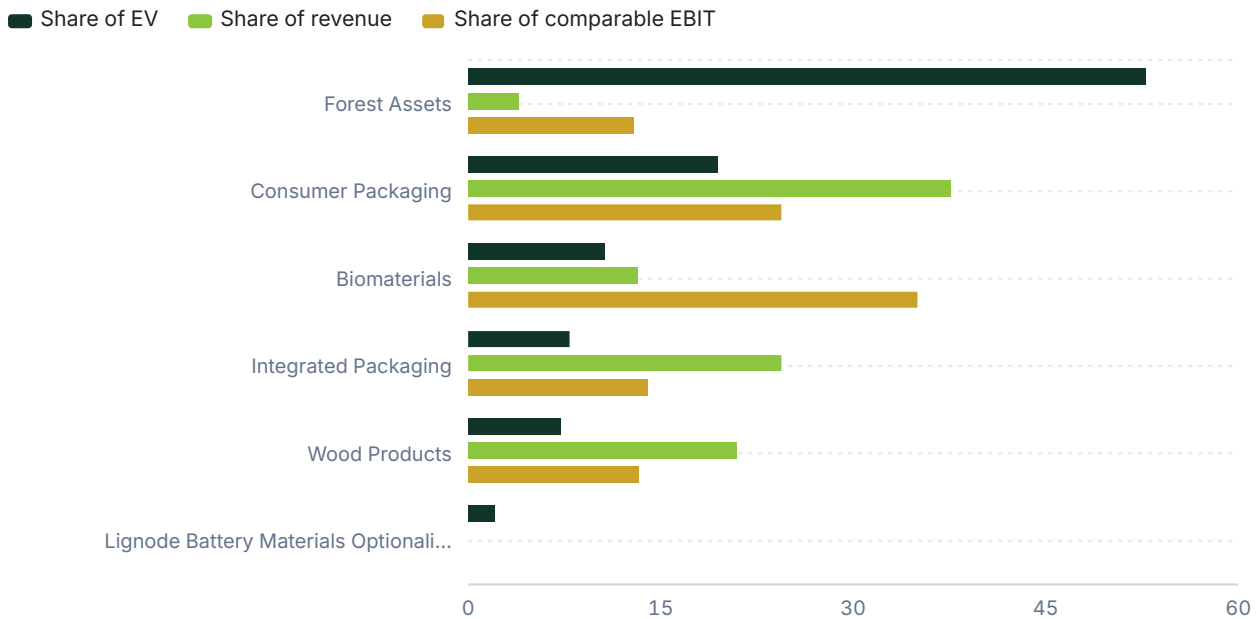
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

More than half of enterprise value resides in Forest Assets, while Consumer Packaging is the main industrial rerating lever. Biomaterials supplies meaningful current profit but remains cyclical; Integrated Packaging and Wood Products are spread businesses valued below premium peers. Lignode is retained as a small probability-weighted option rather than used to justify the group valuation.

INVESTMENT CASE

The call and how the business creates value

06/07

Why the valuation and operating evidence point to the recommendation, and the map for the business division analysis that follows.

RECOMMENDATION CASE

HOLD. The 12-month target price is EUR 9.8, implying 0.2% downside from the current price of EUR 9.82.

The current price already requires more than a simple liquidation discount but less than a clean industrial recovery. The reverse valuation holds revenue growth near 3% while requiring EBIT margin to fall to 3.1% in 2027 before recovering to 11.2% in the terminal period. Against that, H1 2026 reported sales were EUR 4.8 billion and adjusted EBIT was EUR 319m, while consensus expects EUR 644.6m for the full year. The market therefore appears to price a maintenance-affected second half, a slow Oulu ramp and limited near-term free cash flow.

Evidence is balanced. Oulu has 750,000 tonnes of nameplate capacity and approximately EUR 800m of mature annual sales potential, but management previously described volumes as behind its internal schedule and plans a longer Q3 shutdown to remove bottlenecks. Biomaterials benefits from low-cost South American joint ventures, yet 25% of the market-pulp industry was estimated to be operating with negative cash margins in 2026. Forest value is transaction-supported, but the proposed H1 2027 demerger still needs shareholder and regulatory approvals.

The strongest argument for buying is that Swedish forests alone were presented at EUR 10.80 per Stora Enso share in July 2026, above the quoted group share price. That comparison is economically powerful but not equivalent to distributable equity value: deferred tax, group debt, separation costs, retained industrial liabilities and the earnings transferred with internal wood supply all matter. The asset discount can close without creating equivalent cash for shareholders.

The call would turn positive if Oulu sustained qualified output toward its 2027 capacity target, group free cash flow moved decisively above maintenance investment and the forest demerger terms preserved the disclosed asset value. It would turn negative if packaging spreads weakened while pulp remained below cash cost, or if the separated forest value required materially more tax and debt allocation than the present bridge assumes.

ECONOMIC MAP

Enterprise value forms first in Forest Assets: EUR 6.0bn, or 52.8%, rests on transaction-supported Swedish land values and sustainable cash yield. Consumer Packaging contributes EUR 2.2bn, with Oulu's EUR 800m mature-sales opportunity and production cost as the decisive variables. Biomaterials adds EUR 1.2bn through pulp cost-curve resilience rather than specialty-market aspirations.

Integrated Packaging contributes EUR 0.9bn and turns on European box-price-to-fibre-cost spread. Wood Products contributes EUR 0.8bn and needs construction recovery plus portfolio repair. Lignode contributes only EUR 0.24bn because a 50% failure probability remains until commercial customer qualification and full-scale economics are demonstrated.

At group level, the one number that matters is not 2026 EPS but the conversion of EUR 1.4 billion forecast EBITDA into only EUR 6m FCFF. Oulu investment, working capital, maintenance and leverage explain why asset value and accounting earnings have not yet translated into a higher equity valuation.

ANALYTICAL ANCHOR

The share is an asset-backed industrial turnaround: forest NAV limits part of the downside, but only cash-yielding industrial improvement closes the discount.

08.1

Forest Assets

Business division deep dive — Backed profit engine.

THE PRIZE IS OWNERSHIP OF A SCARCE PRODUCTIVE BIOLOGICAL ASSET

Forest Assets competes in the market for standing timber, forest land and long-duration biological growth rather than a conventional manufactured-product category. The closest annual expenditure pool is the wood-fibre requirement of pulp, packaging, construction and energy customers, but the register does not provide a single audited annual spend for Nordic timber. The more reliable sizing evidence is asset market value: Stora Enso disclosed EUR 8.5bn of total forest-asset fair value at 31 December 2025, approximately EUR 5.7bn for retained Swedish forests and EUR 1.5bn for its 41% Tornator interest. The valuation uses transaction-supported asset economics and sustainable harvest EBITDA, not an unsupported global timber-spend estimate.

The Swedish estate exceeds 1.2m hectares after the disposal of 175,000 hectares, or 12.4%, for EUR 900m in September 2025. The transaction equates to EUR 5,143 per hectare, while the retained EUR 5.7bn fair value implies EUR 4,750 per hectare. That 8% difference is a reasonable marketability and portfolio-quality range rather than a contradiction. Applying the disposal unit value to 1.2m hectares would indicate EUR 6.17bn gross; applying retained book fair value gives EUR 5.7bn. The report's EUR 6.0bn EV allocation lies between them before considering the separate Tornator value, taxes and group claims.

THE SHARE STORA ENSO CONTROLS IS ALREADY LARGE ENOUGH; THE QUESTION IS MONETISATION

SCA owns 2.7m hectares and remains the larger European private forest owner, while Stora Enso's proposed Bergslagens skogar would become Europe's largest listed pure-play forest company according to the company's framing. Swedish productive forest ownership is fragmented: individuals and estates hold 49%, private limited companies 25% and state-owned companies 13%. That fragmentation supports transaction depth but means listed comparables do not represent the entire market. Stora Enso does not need to acquire share to validate the asset; it needs to separate the estate without leaking value through tax, debt allocation or supply contracts.

The proposed demerger is targeted for H1 2027 and remains subject to Stora Enso shareholder approval and relevant Finnish and Swedish regulatory authorities. No evidence in the register gives exact hearing dates or final separation terms. The regulatory state is therefore straightforward: the strategic decision has been announced, management has been appointed and preparation is under way, but legal completion is not yet approved. This is permission risk rather than timber-demand risk.

FOREST ASSETS FACT SHEET

BACKED PROFIT ENGINE
MODEL ESTIMATE REVENUE EUR 360m
MODEL ESTIMATE COMPARABLE EBIT EUR 68m
RETAINED SWEDISH AREA More than 1.2m hectares
SWEDISH FAIR VALUE Approximately EUR 5.7bn
2025 TRANSACTION EUR 900m for 175,000 hectares
TRANSACTION VALUE PER HECTARE EUR 5,143/ha
MODELLED SUSTAINABLE EBITDA EUR 600m × 10.0x
STANDING STOCK ASSUMPTION 132 m3/ha estimate
ANNUAL GROWTH ASSUMPTION 5 m3/ha estimate
SWEDISH DEFERRED-TAX RATE 20.6%

08.1

Forest Assets (continued)

Business division deep dive — Backed profit engine.

SUSTAINABLE GROWTH AND HARVEST CONVERT NAV INTO CASH YIELD

The standing-stock estimate of 132 cubic metres per hectare implies approximately 158m cubic metres across 1.2m hectares. Estimated biological growth of 5 cubic metres per hectare implies roughly 6m cubic metres of annual growth. At the reported 2025 Swedish standing-timber price of SEK 666 per cubic metre, gross biological growth has substantial value, but currency conversion, harvest mix, roads, silviculture, administration and tax prevent treating price multiplied by growth as cash flow. The register also lacks exact annual harvest volume.

This report therefore models EUR 600m of sustainable EBITDA for the forest pool and applies 10.0x, yielding EUR 6.0bn. The estimate is an analytical bridge across Swedish forest earnings, Tornator-related value and other forest output currently embedded in Other; it is not a reported segment result. A 10.0x multiple corresponds to a 10% pre-tax EBITDA yield and is intentionally more conservative than capitalising the full EUR 8.5bn disclosed fair value. The selected value also avoids adding the whole Tornator stake on top of a forest EBITDA figure that may already capture related income.

The modelled FY2025 external revenue allocation is EUR 360m and comparable EBIT EUR 68m within Other. Those amounts are residual estimates after assigning EUR 1.9 billion of revenue and EUR 70m of comparable EBIT to Wood Products. They should not be mistaken for harvest revenue because internal wood transfers, energy, associates and corporate functions are mixed in the reported segment. Forest value is consequently audited primarily against land transaction evidence rather than the modelled income split.

THE GROSS NAV MUST BE RECONCILED TO SHAREHOLDER VALUE

- Stora Enso sold 175,000 hectares for EUR 900m in September 2025, establishing EUR 5,143 per hectare in an arm's-length transaction.
- The retained Swedish estate was valued at approximately EUR 5.7bn, or EUR 4,750 per hectare, after the disposal.
- Total forest assets were reported at EUR 8.5bn at year-end 2025, including a EUR 1.5bn transaction-based value for the 41% Tornator interest.
- Swedish biological-asset fair-value changes are subject to 20.6% deferred tax, making gross fair value different from distributable equity.

The EUR 10.80 per-share Swedish forest fair value disclosed in July 2026 is the clearest reason the share appears optically cheap. Multiplied by the locked share count, it corresponds to approximately EUR 8.52bn, a figure that may reflect a broader or updated presentation than the EUR 5.7bn retained Swedish value cited for September 2025. The report does not force the two figures to match because the evidence does not provide the reconciliation. It weights the completed transaction and dated retained-asset fair value more heavily than the per-share headline when constructing EV.

Deferred tax is only one deduction. The demerged company may assume debt, pension or environmental obligations; Stora Enso may retain guarantees; and separation costs may reduce proceeds. Long-term wood-supply agreements could transfer some economic benefit from forest owners to the industrial company or vice versa depending on pricing. These terms are not yet available. Treating gross NAV as a dividend would therefore be incorrect even if the published land value proves accurate.

08.1

Forest Assets (continued)

Business division deep dive — Backed profit engine.

SEPARATION CHANGES TRANSPARENCY AND BARGAINING ECONOMICS

As an integrated group, forest ownership reduces fibre-security risk and allows value to move between timber and manufacturing margins. Following demerger, transfer pricing becomes an external commercial negotiation. The forest company should gain a clearer market-based cash yield and capital-allocation framework, while the remaining industrial company becomes more visibly exposed to wood costs. The combined value can rise through transparency, but operational integration benefits may decline.

The future forest company also faces a different investor constituency. Forest NAV investors may accept low cash yields for biological growth and inflation protection, whereas packaging investors generally require visible free cash flow. A separate listing can therefore reduce the conglomerate discount without changing underlying timber economics. The risk is that the market capitalises a lower sustainable harvest yield than the accounting fair value implies, especially after tax and central costs.

08.1

Forest Assets (continued)

Business division deep dive — Backed profit engine.

COMPETITIVE REFERENCES SUPPORT SCARCITY BUT NOT THE EXACT MULTIPLE

SCA's 2.7m hectares establish listed scale and trades with forest-heavy valuation metrics, while Holmen combines forests, board, wood and energy. Sveaskog is Sweden's largest forest owner but is state-owned, limiting direct valuation comparability. In Finland, families own about 60% of forests, the state 26% and private companies 9%; Stora Enso's Tornator exposure therefore represents a scarce corporate route to Finnish forest economics. Finland's median forest-land price reached EUR 4,400 per hectare in 2025, broadly consistent with, though not directly comparable to, the Swedish per-hectare evidence.

The differences in productivity, species, road access, maturity and geography make a single hectare multiple hazardous. The 2025 Stora Enso disposal is the best reference because it involves the same portfolio and a current transaction. The retained fair value is the second reference, while Finnish median prices are a reasonableness check. The report does not use broad competitor P/BV multiples to override direct land evidence.

WHAT WOULD BREAK THE EUR 6.0BN ALLOCATION

A 15% haircut to the EUR 5.7bn retained Swedish value would remove EUR 855m before considering other forests, equivalent to EUR 1.08 per Stora Enso share. A 20.6% tax charge on a larger portion of fair-value gains than expected would create another material gap between NAV and shareholder proceeds. Conversely, a demerger valuation near the EUR 5,143-per-hectare transaction benchmark, with limited debt and tax leakage, could support value above the EUR 6.0bn allocation when Tornator is included.

The value also breaks if sustainable harvest cash yield is structurally lower than the modelled EUR 600m EBITDA. Exact harvest volume, cash operating cost, maintenance investment and post-tax distributable cash are absent from the source data. Until the demerger prospectus provides them, land transactions are more reliable than a precise DCF. The target therefore recognises forest scarcity but refuses to count every disclosed euro of gross fair value as freely distributable equity.

NORDIC FOREST SCALE AND VALUATION REFERENCES			
OWNER/OPERATOR	FOREST SCALE	VALUATION OR PROFIT SIGNAL	OWNERSHIP CONTEXT
Stora Enso Sweden	>1.2m hectares (2025)	EUR 4,750/ha retained value	Demerger targeted H1 2027
SCA	2.7m hectares (2025)	0.7x P/BV 2026E	Largest private owner in Europe
Sveaskog	Largest in Sweden (2025)	State-owned; no listed multiple	Part of 13% state-owned share
Holmen	Large Nordic forest platform	0.9x P/BV 2026E	Forests, board, wood and energy
Tornator	Finnish forest platform	EUR 1.5bn for Stora's 41%	Transaction-based fair value

08.2

Consumer Packaging

Business division deep dive — Profit engine.

THE SIZE OF THE PRIZE IS INCUMBENT PLASTIC-PACKAGING EXPENDITURE

Integrated Packaging competes ultimately for part of the USD 416.5 billion global plastic-packaging market estimated for 2025 by Grand View Research on 15 June 2026. That is the incumbent annual spend fibre-based transport, industrial and e-commerce packaging can displace where corrugated formats meet protection, weight, logistics and recycling requirements. The global fibre-based packaging market itself was projected at USD 358.18 billion for 2026 by Fortune Business Insights on 27 July 2026, but it includes categories beyond Stora Enso's Integrated Packaging operations. The report therefore does not apply a global market-growth rate or assumed share to segment revenue. The prize is large, but reachable economics depend on European containerboard and corrugated-conversion spreads rather than on the headline displacement pool.

The closest labelled market is European corrugated packaging, for which published estimates differ substantially. Future Market Insights estimated USD 75.3 billion for 2025 on 10 March 2026, while a separate market-research reference published on 3 August 2026 gave USD 48.79 billion for European corrugated boxes. The USD 26.51 billion difference is the report's own calculation, equal to USD 75.3 billion less USD 48.79 billion, and signals that the sources use different definitions of board, sheets, boxes and associated services. Neither figure is used to infer Stora Enso's share because the numerator is segment revenue from a mix of containerboard and converting while the denominators are not demonstrably comparable. Observable capacity, customer conversion, operating rates and price-to-fibre spreads provide a more defensible route from the total opportunity to achievable earnings.

THE REACHABLE POSITION IS SIGNIFICANT REGIONALLY BUT NOT DOMINANT

The independently verified FY2025 segment table in Stora Enso's Half-year Report published on 23 July 2026 records Integrated Packaging external sales of EUR 2,274 million and total segment sales, including intersegment sales, of EUR 2,359 million. External sales represented 24.4% of group revenue on the verified external-sales basis, while EUR 74 million of comparable EBIT represented 14.0% of group comparable EBIT. Comparable EBIT divided by total segment sales produces the correct 3.1% FY2025 operating margin. The EUR 85 million difference between total and external sales is the report's own arithmetic and indicates a limited but relevant amount of intersegment activity. The division already has meaningful sales scale, but its lower profit share shows that scale did not translate into adequate returns during 2025.

CONSUMER PACKAGING FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
EUR 3,510m

FY2025A COMPARABLE EBIT
EUR 129m

FY2025 COMPARABLE EBIT MARGIN
3.5% on EUR 3,692m total sales

VALUATION BASIS
EUR 275m 2027E EBITDA × 8.0x

OULU BM6 NAMEPLATE
750kt/y; full capacity targeted in 2027

OULU MATURE SALES
Approximately EUR 800m/y

IMPLIED MATURE REVENUE PER TONNE
EUR 1,067/t report estimate

MARKET POSITION
10–13% global consumer-board share in 2024

Q2 2026 ADJUSTED EBIT MARGIN
6.6%

DECISIVE GATE
Qualified output at target production cost

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

Stora Enso ranked third in European virgin-fibre containerboard in November 2025 according to the company on 25 November 2025. Mondi was identified as Europe's leading virgin-containerboard producer by Coronation on 15 July 2025, while Jefferies data reported by Investing.com on 12 March 2026 placed Smurfit Westrock first in the broader European containerboard market with 13% and SAICA second with 10%. Those rankings use related but not identical market definitions, so they establish competitive intensity rather than a precise Stora Enso percentage. At the global finished-box level, International Paper was estimated to hold 8.7% in 2025 and the five named leaders together 21.8%, according to Global Market Insights on 15 February 2026. The relatively fragmented converting layer leaves room for regional customer relationships, although upstream board concentration and local overcapacity can still dictate pricing.

REACHING ACCEPTABLE RETURNS REQUIRES UTILISATION AND SPREAD RECOVERY

FY2025 comparable EBIT of EUR 74 million equalled only 3.1% of total segment sales, making the starting economics modest. In Q2 2026 Integrated Packaging produced adjusted EBIT of EUR 29 million and an approximately 5% margin, according to Investing.com on 23 July 2026, compared with EUR 33 million in the prior-year quarter. The margin improvement relative to FY2025 indicates some recovery, but the year-on-year EBIT decline and continued testliner overcapacity prevent a clean conclusion that normal profitability has returned. The division must hold box and board prices while improving utilisation and controlling recovered-fibre, virgin-fibre, energy and freight costs. Internal integration can retain some margin within the chain, but internal transfer pricing cannot create consolidated economic profit.

European containerboard mills operated at an estimated average rate of 84% in March 2026, according to Jefferies data reported by Investing.com on 12 March 2026. That level is weak enough to erode price discipline but may not force immediate system-wide closures, leaving the market vulnerable to prolonged excess capacity. German recycled-containerboard prices increased by EUR 40 per tonne, or 6%, in March 2026 according to the same source, while global average corrugated-box prices reached USD 0.786 per kilogram in Q2 2026, up 2.7% sequentially, according to Expert Market Research on 31 July 2026. The price movements are directionally constructive, yet they do not reveal Stora Enso's net realised spread after furnish, energy and logistics. Evidence that the approximately 5% Q2 EBIT margin persists through maintenance periods and weaker demand would be more persuasive than list-price announcements alone.

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

INTEGRATION AND ASSET SCALE PROVIDE PROTECTION, NOT IMMUNITY

The division combines containerboard production with downstream corrugated packaging, allowing value to migrate between paper and converting rather than necessarily leave the group. Oulu BM7 has annual kraftliner capacity of 450,000 tonnes, according to Paper Advance on 26 May 2026, providing exposure to virgin-fibre applications where strength and moisture performance matter. The asset base also links the division to Stora Enso's integrated fibre system, but that advantage is valuable only if the delivered wood and energy cost remains competitive. Recycled testliner overcapacity can pressure the market even when virgin grades have differentiated applications because customers can redesign specifications at the margin. The correct performance measure remains consolidated segment profitability rather than the apparent margin of an individual production stage.

- Stora Enso ranked third in European virgin-fibre containerboard in November 2025 and operates Oulu BM7 with 450,000 tonnes of annual kraftliner capacity, according to Stora Enso on 25 November 2025 and Paper Advance on 26 May 2026.
- Smurfit Westrock held an estimated 13% of European containerboard in March 2026 and reported a 14.2% adjusted EBITDA margin on USD 8.03 billion of Q2 2026 sales, according to Jefferies via Investing.com on 12 March 2026 and Smurfit Westrock on 29 July 2026.
- SAICA held an estimated 10% of European containerboard in March 2026, according to Jefferies via Investing.com on 12 March 2026.
- Mondi was identified as Europe's leading virgin-containerboard producer in July 2025 and reported a 9.5% group underlying EBITDA margin in H1 2026, according to Coronation on 15 July 2025 and Quartr on 10 August 2026.

REGULATION EXPANDS SUBSTITUTION WHILE REDUCING MATERIAL INTENSITY

The EU Packaging and Packaging Waste Regulation became generally applicable across the European Union on 12 August 2026, according to the European Commission on 11 August 2026. It requires all packaging placed on the EU market to be designed for material recycling by 1 January 2030 and recycled at scale by 1 January 2035, according to Stora Enso on 15 August 2026. The regulation supports corrugated formats where they replace harder-to-recycle plastic transport packaging, trays or protective components. However, it also requires packaging minimisation and limits the empty-space ratio to 40% in grouped, transport and e-commerce packaging, according to Stora Enso on 18 June 2025. Integrated Packaging therefore faces a favourable mix effect but not an unconditional increase in tonnes.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

Stora Enso estimated on 15 November 2023 that up to 25% of current plastic-packaging volume in Europe could be replaced by fibre-based alternatives, and stated on 25 November 2025 that 60–70% of global fibre-based plastic-substitution potential is located in Europe. Those company estimates describe technical or commercial potential rather than a forecast of Stora Enso's captured volume. Success requires designs that use less material while preserving protection, recyclability and line efficiency for customers. That can increase value per tonne through design and converting services even if board grammage declines, but the register does not disclose a segment-wide service-revenue split. The regulation is consequently most valuable to operators able to sell complete, right-sized systems rather than merely additional tonnes of commodity board.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

THE EUR 900 MILLION VALUE REQUIRES A MODERATE EARNINGS RECOVERY

The bridge values report-estimated 2027 EBITDA of EUR 150 million at 6.0x, producing EUR 900 million of enterprise value through visible arithmetic. The multiple is below the group's 7.90x normalised historical EV/EBITDA and below the cited 7.9x 2027 benchmark for Smurfit Westrock because Stora Enso lacks comparable global converting scale and remains concentrated in cyclical European markets. The EUR 150 million EBITDA requirement is not equivalent to matching Smurfit Westrock's 14.2% Q2 2026 margin, which is a group measure and not directly comparable. Instead, it assumes that the approximately 5% Q2 2026 EBIT margin can be sustained and supplemented by depreciation, cost control and spread normalisation. The valuation does not require market leadership, but it does require a clear improvement from the FY2025 3.1% EBIT margin.

Each percentage point of margin on FY2025 total segment sales of EUR 2,359 million equals approximately EUR 23.6 million, rounded to EUR 24 million, and is worth about EUR 144 million at 6.0x; both figures are the report's own calculations. A two-point EBITDA-margin improvement would therefore add approximately EUR 47 million of EBITDA and EUR 282 million of enterprise value if sales and the multiple were unchanged. Upside requires operating rates above the March 2026 level of 84%, realised price increases and stable fibre, energy and freight costs. Downside would emerge if weak goods demand, new recycled capacity or packaging minimisation returned the segment to the FY2025 margin or below. Quarterly segment margin, European operating rates, realised-price retention and progress in replacing plastic formats are the most direct tests of whether EUR 150 million of EBITDA is achievable.

CONSUMER - BOARD COMPETITIVE AND RAMP BENCHMARKS

COMPANY OR OPERATOR	COMPETITIVE POSITION	DATED FIGURE	SOURCE AND PUBLICATION DATE
Stora Enso Integrated Packaging	Third in European virgin-fibre containerboard	FY2025 external sales EUR 2,274m; total segment sales EUR 2,359m; comparable EBIT EUR 74m; Q2 2026 adjusted EBIT EUR 29m at approximately 5% margin	Stora Enso Half-year Report, 23 July 2026; Investing.com, 23 July 2026
Smurfit Westrock	Estimated European containerboard leader	13% European containerboard share in March 2026; Q2 2026 adjusted EBITDA margin 14.2% on USD 8.03bn sales	Jefferies via Investing.com, 12 March 2026; Smurfit Westrock, 29 July 2026
SAICA	Estimated second-largest European containerboard producer	10% European containerboard share in March 2026	Jefferies via Investing.com, 12 March 2026
Mondi	Identified leader in European virgin containerboard	H1 2026 group underlying EBITDA margin 9.5%, down from 14.4% in H1 2025	Coronation, 15 July 2025; Quartr, 10 August 2026
International Paper	Large global corrugated-box producer	Estimated 8.7% global corrugated-box share in 2025 before completion of the DS Smith combination	Global Market Insights, 15 February 2026

08.3

Biomaterials

Business division deep dive — Commodity.

THE SIZE OF THE PRIZE IS FOSSIL - MATERIAL SUBSTITUTION, BUT PULP STILL DETERMINES EARNINGS

Biomaterials ultimately competes for part of the USD 963.7 billion global plastics market estimated for 2025 by Grand View Research on 15 March 2026. That is the incumbent annual spend renewable wood-based materials could displace if they achieve the required functionality, cost and production scale, rather than a forecast of revenue available to Stora Enso. The nearer labelled biomaterials market was estimated at USD 333.12 billion for 2026 by Fortune Business Insights on 3 August 2026, while Grand View Research estimated USD 274.6 billion on 15 June 2026. Because those estimates conflict and include products outside Stora Enso's portfolio, neither is used to extrapolate divisional sales. The report instead treats fossil-material substitution as long-duration optionality and anchors current earnings to market pulp, fluff pulp and lignin-related products.

The more relevant established pool is global wood pulp, estimated at USD 171.15 billion for 2025 by Expert Market Research on 6 August 2026 and USD 179.0 billion by IMARC Group on 10 February 2026. This report uses the lower USD 171.15 billion figure when framing the current market because choosing the larger estimate would not change the division's attainable capacity or cost position. Asia Pacific represented an estimated 56.4% of the global pulp-and-paper market in 2025 according to Straits Research on 13 August 2026, making Asian demand and import pricing central to European and South American realised prices. Biomaterials therefore has two very different opportunities: a large but cyclical pulp pool that already pays the bills, and a potentially higher-value substitution pool that remains early in commercial development. Valuing all revenue as specialty biomaterials would conflate those opportunities and overstate both attainable margins and near-term defensibility.

BIOMATERIALS FACT SHEET

COMMODITY

FY2025A REVENUE

EUR 1,233m

FY2025A COMPARABLE EBIT

EUR 185m

FY2025 COMPARABLE EBIT MARGIN

11.9% on EUR 1,558m total sales

VALUATION BASIS

EUR 200m 2027E EBITDA × 6.0x

KRAFT - PULP FUTURES

CNY 4,848/t on 21 August 2026

INDUSTRY STRESS

25% estimated at negative cash margin

SKUTSKÄR FLUFF CAPACITY

440kt/y targeted for Q4 2027

LOW-COST ASSETS

Montes del Plata and Veracel JVs

COMPETITIVE BENCHMARK

Suzano 13.4Mt/y market-pulp capacity

08.3

Biomaterials (continued)

Business division deep dive — Commodity.

THE REACHABLE SHARE BEGINS WITH EUR 1.6 BILLION OF ESTABLISHED SEGMENT SALES

The independently verified FY2025 segment table in Stora Enso's Half-year Report published on 23 July 2026 records Biomaterials external sales of EUR 1,233 million and total segment sales, including intersegment sales, of EUR 1,558 million. External sales represented 13.2% of group revenue on the verified external-sales basis, while comparable EBIT of EUR 185 million represented 35.0% of group comparable EBIT. Comparable EBIT was earned on total segment sales, so the correct operating margin is EUR 185 million divided by EUR 1,558 million, or 11.9%. That made Biomaterials the largest contributor to reported segment comparable EBIT despite its much smaller external-revenue share. The gap between revenue and profit shares is evidence of favourable 2025 product economics and asset positioning, but it does not by itself prove that an enduring specialty-material premium has replaced pulp cyclicalities.

The division's reachable market share is constrained by physical mill capacity and by the global commodity structure rather than by the headline size of plastics expenditure. Suzano held an estimated 19% of global market pulp and 36% of hardwood pulp in 2025 according to Fitch Ratings on 25 February 2025, illustrating the scale of the leading low-cost producer. Future Market Insights estimated on 19 February 2025 that Suzano, Stora Enso and UPM together held 15% of the hardwood-pulp market, but it did not provide an individual Stora Enso share. The absence of a reliable company-specific percentage means the report does not manufacture one from segment revenue divided by incompatible market definitions. Instead, attainable share is assessed through the competitiveness of individual assets, exposure to growing grades and evidence that customers have qualified differentiated output.

COST-CURVE POSITION DETERMINES WHETHER CAPACITY EARNS THROUGH THE SUPPLY WAVE

The decisive requirement in commodity pulp is a cash-cost position that remains viable after new South American capacity resets the marginal price. Suzano's Cerrado project added 2.55 million tonnes of annual market-pulp capacity in 2024–2025, according to ResourceWise on 11 August 2026. Approximately 25% of the global market-pulp industry was estimated to be operating with negative cash margins in 2026 by Pulp Price Trend on 20 January 2026. Benchmark kraft-pulp futures traded at CNY 4,848 per tonne on 21 August 2026, down 4.15% year on year, according to Trading Economics on that date. These conditions make production cost, freight and currency more important than top-down demand growth for near-term divisional earnings.

08.3

Biomaterials (continued)

Business division deep dive — Commodity.

Stora Enso described the Montes del Plata joint operation in Uruguay and Veracel in Brazil as world-class, cost-competitive sites at the low end of the global cash-cost curve in its Investor Kit dated 25 November 2025. That evidence supports giving the South American operations more weight than higher-cost European mills when judging through-cycle resilience. Suzano reported a 2025 pulp cash cost, excluding downtime, of BRL 817 per tonne on 11 February 2026 and Q2 2026 pulp adjusted EBITDA of BRL 1,444 per tonne on 13 August 2026, providing a scale benchmark rather than a directly comparable Stora Enso margin. Stora Enso does not disclose a division-wide cash cost per tonne, so it cannot be reconstructed reliably from segment revenue because grade mix, joint-operation accounting and internal sales are not disclosed at the necessary level. The observable test is therefore whether low-cost assets preserve segment profit while uncompetitive capacity is closed.

PORTFOLIO REPAIR IS SHIFTING OUTPUT TOWARD DEFENSIBLE GRADES

Stora Enso plans to close softwood pulp production on fibreline 3 at Skutskär during Q3 2026 because of negative margins and insufficient cost competitiveness, according to the company on 25 May 2026. It is simultaneously investing EUR 19 million to increase Skutskär fluff-pulp capacity by approximately 10% to 440,000 tonnes annually by Q4 2027, according to Stora Enso on 17 June 2026. The pre-expansion capacity implied by the company's figures is the report's own estimate of approximately 400,000 tonnes, calculated as 440,000 divided by 1.10. Smithers forecast on 15 February 2026 that global fluff-pulp demand would reach 8.62 million air-dried tonnes in 2029, growing at 3.4% annually from 2024. The strategy therefore exchanges structurally weak commodity output for a hygiene-oriented grade with a clearer demand trajectory, although incremental EBITDA cannot be reconstructed without realised prices, conversion cost and the tonnes displaced by the closure.

- Skutskär's planned fluff-pulp capacity is 440,000 tonnes per year by Q4 2027 after a EUR 19 million investment, according to Stora Enso on 17 June 2026.
- Suzano's nominal market-pulp capacity was 13.4 million tonnes per year in 2025, according to EUWID Pulp and Paper on 7 August 2025.
- UPM operated 5.8 million tonnes of annual pulp capacity across five mills in Finland and Uruguay in 2025, according to UPM on 4 February 2026.
- Montes del Plata and Veracel were identified by Stora Enso on 25 November 2025 as low-end cash-cost operations, while no comparable company-wide cost-per-tonne figure was disclosed for Biomaterials.

08.3

Biomaterials (continued)

Business division deep dive — Commodity.

CERTIFICATION, LIGNIN AND PROCESS CHANGES TEST THE SPECIALTY THESIS

Oulu pulp received FSSC 22000 food-safety certification in June 2026, the first such pulp certification in Finland, according to Stora Enso on 17 June 2026. The qualification supports customers producing food-grade packaging, where documented process control can broaden the addressable product mix even if it does not automatically create pricing power. Montes del Plata transitioned to fully talc-free pulp production using organic additives in spring 2026, according to Stora Enso on 20 August 2026. At Skutskär, the planned shift toward fluff pulp increases exposure to absorbent hygiene applications rather than generic paper demand. Collectively, these actions show that management is improving the mix through qualification and process design, but the evidence does not disclose a realised premium per tonne or customer-contract duration.

Lignin offers a more direct route into fossil-derived chemicals and battery materials. Grand View Research estimated the global lignin market at USD 1.37 billion in 2025 on 15 June 2026 and estimated that European producers held 38.5% of market revenue; Scope Ratings estimated Borregaard LignoTech's global lignin share at 35–40% on 26 March 2025. Stora Enso maintains 50,000 tonnes of annual lignin-extraction capacity at Sunila, according to Bioenergy International on 5 September 2023, and has an agreement for up to 250,000 tonnes of kraft-lignin feedstock annually from Södra starting in 2027, according to Södra on 1 October 2024. New EU formaldehyde-emission limits taking effect in August 2026 support bio-based binder alternatives such as NeoLigno, according to Stora Enso on 15 May 2026. Those milestones establish feedstock availability and regulatory relevance, but commercial revenue, conversion yield and full-scale capital requirements remain insufficiently disclosed to capitalise as a mature specialty-chemical stream.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3

Biomaterials (continued)

Business division deep dive — Commodity.

THE EUR 1.2 BILLION VALUE REQUIRES RESILIENCE RATHER THAN A PULP SUPERCYCLE

The bridge applies 6.0x to EUR 200 million of report-estimated 2027 EBITDA, yielding EUR 1.2 billion of enterprise value through visible arithmetic. The EBITDA assumption is close to FY2025 comparable EBIT of EUR 185 million before any allowance for depreciation, so it requires modest operating support rather than a return to peak pulp conditions. The 6.0x multiple sits above the cited 4.6x 2027 benchmark for Suzano because Stora Enso combines low-cost joint operations with fluff, certified grades and lignin options. It remains below the cited 9.0x specialty-biomaterials benchmark for Borregaard because market pulp still drives the division's earnings. The value consequently prices a cyclical cash generator with specialty upside, not a completed transformation into a high-multiple chemicals platform.

A EUR 100-per-tonne realised-price movement would clearly be material, but attributable sales tonnes and grade-level sensitivities cannot be reconstructed from the reported data without false precision. Energy is another major risk: industrial energy prices were forecast to rise 24% in 2026 to their highest level since 2022 by the World Bank on 4 August 2026, disproportionately pressuring European production. The value would rise if low-cost joint operations sustain earnings while fluff expansion, certified food-grade pulp and lignin products add EBITDA without requiring disproportionate new capital. It would fall if South American supply keeps pulp below European cash cost, if wood and energy inflation outrun portfolio savings, or if specialty projects require substantial capital before customer demand is secured. Segment comparable EBIT, closure execution, Skutskär's 440,000-tonne ramp and evidence of commercial lignin revenue are therefore the most useful tests of whether the EUR 200 million EBITDA requirement is being met.

PULP COST-CURVE AND BIOMATERIALS BENCHMARKS

COMPANY OR OPERATOR	RELEVANT POSITION	DATED OPERATING OR MARKET FIGURE	SOURCE AND PUBLICATION DATE
Stora Enso Biomaterials	Pulp, fluff pulp and lignin-based materials	FY2025 external sales EUR 1,233m; total segment sales EUR 1,558m; comparable EBIT EUR 185m; Skutskär fluff capacity planned at 440,000 t/y by Q4 2027	Stora Enso Half-year Report, 23 July 2026; Stora Enso, 17 June 2026
Suzano	Global market-pulp leader	13.4m t/y nominal market-pulp capacity in 2025; estimated 19% global market-pulp share and 36% hardwood-pulp share	EUWID Pulp and Paper, 7 August 2025; Fitch Ratings, 25 February 2025
UPM	Large Nordic and South American pulp operator	5.8m t/y pulp capacity across five mills in 2025	UPM, 4 February 2026
Borregaard LignoTech	Specialty-lignin market leader	Estimated 35–40% global lignin-market share in 2025	Scope Ratings, 26 March 2025
Montes del Plata and Veracel	Stora Enso joint-operation pulp assets in South America	Identified as world-class sites at the low end of the global cash-cost curve in 2025–2026	Stora Enso Investor Kit, 25 November 2025

08.4

Integrated Packaging

Business division deep dive — Commodity.

THE OPPORTUNITY IS THE GOODS-DISTRIBUTION PACKAGE, NOT ONLY CONTAINERBOARD

Integrated Packaging competes with the USD 416.5bn global plastic-packaging spend estimated for 2025, but the operationally relevant labelled market is European corrugated packaging. Estimates conflict materially: Future Market Insights put the 2025 market at USD 75.3bn, while another market-research reference gave USD 48.79bn. This report uses neither headline to extrapolate Stora Enso revenue because definitions may include different combinations of boxes, sheet, board and services. The division's value instead rests on the observable European box-price-to-fibre-cost spread and capacity utilisation.

Stora Enso's FY2025 external sales were EUR 2.3 billion, or 24.4% of group revenue, while total segment sales were EUR 2.4 billion. The company ranks third in European virgin-fibre containerboard, behind operators identified as Mondi and other large integrated producers. The market is less concentrated at the finished-box level: the top five global corrugated participants were estimated at 21.8%. That structure leaves room for regional customer relationships, but it also limits pricing power when operating rates fall.

THE REQUIRED ECONOMICS ARE MODEST BUT UTILISATION-SENSITIVE

FY2025 comparable EBIT of EUR 74m equalled a 3.1% margin on total segment sales. Q2 2026 adjusted EBIT improved to EUR 29m and approximately 5%, despite pressure from overcapacity in European testliner. The bridge values EUR 150m of 2027E EBITDA at 6.0x, producing EUR 900m of EV. This multiple is below the group's normalised 7.90x and below Smurfit Westrock's 7.9x 2027E because Stora Enso's division lacks the same global converting scale and remains exposed to European virgin and recycled board cycles.

An 84% European containerboard operating rate in March 2026 is not low enough to force immediate system-wide closure, but it is weak enough to impair price discipline. German recycled-containerboard prices rose EUR 40 per tonne in March, equivalent to 6%, while global corrugated-box prices reached USD 0.786/kg in Q2. Those signals indicate some price recovery, yet they do not disclose Stora Enso's net realised spread after recovered paper, virgin fibre, energy and freight. Each percentage point of margin on FY2025 total sales is EUR 24m, worth EUR 144m at 6.0x.

INTEGRATED PACKAGING FACT SHEET

COMMODITY

FY2025A REVENUE
EUR 2,274m

FY2025A COMPARABLE EBIT
EUR 74m

FY2025 COMPARABLE EBIT MARGIN
3.1% on EUR 2,359m total sales

VALUATION BASIS
EUR 150m 2027E EBITDA × 6.0x

EUROPEAN OPERATING RATE
84% in March 2026

Q2 2026 ADJUSTED EBIT
EUR 29m

Q2 2026 ADJUSTED EBIT MARGIN
Approximately 5%

OULU BM7 CAPACITY
450kt/y kraftliner

PRICE SIGNAL
Germany recycled board +EUR 40/t

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4

Integrated Packaging (continued)

Business division deep dive — Commodity.

INTEGRATION PROTECTS VOLUME BUT CANNOT ELIMINATE THE CYCLE

The division combines containerboard and downstream corrugated packaging, allowing some margin to migrate between paper and box conversion rather than disappear from the group. Oulu BM7 provides 450,000 tonnes of kraftliner capacity, giving the division exposure to virgin-fibre applications. However, integrated producers still compete for the same end demand, and internal board transfer prices do not create economic profit. The decisive evidence is consolidated segment margin through the cycle.

Smurfit Westrock reported a 14.2% adjusted EBITDA margin in Q2 2026, materially above Stora Enso's EBIT margin, while Mondi's H1 group underlying EBITDA margin fell to 9.5% from 14.4%. These are not like-for-like segment measures, but they frame the range available to integrated operators. The report does not assume Stora Enso reaches Smurfit's scale economics. It assumes the division can convert the current approximately 5% EBIT margin into EUR 150m of EBITDA through spread normalisation and cost control.

WHAT CHANGES THE VALUE

The upside case requires operating rates above the March 84% level, realised box-price increases and stable fibre costs. A 2-point improvement in EBITDA margin on EUR 2.36bn of sales would add roughly EUR 47m of EBITDA and EUR 282m of EV. The downside case combines new capacity, weak goods demand and rising recovered-fibre or wood costs. That could return the division to the FY2025 3.1% EBIT margin or below.

PPWR supports recyclable fibre packaging but also mandates packaging minimisation. Integrated Packaging therefore benefits where corrugated substitutes for plastic transport formats, while losing tonnes where empty space and material weight are reduced. The regulation is a mix effect rather than a one-way volume guarantee. The valuation remains deliberately below the group multiple until utilisation and spread evidence strengthen.

EUROPEAN INTEGRATED - PACKAGING COMPETITIVE POSITION

OPERATOR	MARKET POSITION	RECENT PROFITABILITY	CYCLE INDICATOR
Stora Enso	#3 virgin board Europe (2025)	~5% adj. EBIT margin Q2 2026	Oulu BM7 450kt/y
Smurfit Westrock	13% Europe board share (2026)	14.2% adj. EBITDA Q2 2026	USD 8.03bn quarterly sales
SAICA	10% Europe board share (2026)	Not isolated in evidence	Second-largest by cited estimate
Mondi	#1 virgin board Europe (2025)	9.5% group EBITDA H1 2026	Margin down from 14.4%

08.5

Wood Products

Business division deep dive — Commodity.

THE SIZE OF THE PRIZE IS CONSTRUCTION-MATERIAL SUBSTITUTION

Wood Products competes for part of the USD 1.48 trillion global construction-materials market estimated for 2026 by Fortune Business Insights on 3 August 2026. That is the incumbent annual spend structural timber, cross-laminated timber, laminated veneer lumber and other engineered-wood systems seek to displace from concrete, steel and alternative building materials. The nearer labelled global wood-products market was projected at USD 945.28 billion for 2026 by Research and Markets on 28 January 2026. Neither pool is fully addressable because building codes, structural loads, fire requirements, local supply chains and project economics restrict where wood can substitute. The report therefore values conversion earnings from Stora Enso's existing footprint rather than applying a top-down share to either global total.

Wood's competitive proposition depends on more than the price of sawn timber. Structural and engineered products can reduce building weight, enable prefabrication and displace more carbon-intensive materials, but they still compete project by project on delivered cost and performance. If timber prices fall because sawlog costs or manufacturing efficiency improve, substitution can accelerate; if prices fall because construction demand collapses, mill utilisation and conversion margins can deteriorate instead. No published numerical estimate in the register quantifies how total construction spend changes after a sharp wood-price decline, so a mechanical demand elasticity would be false precision. Reachable value must instead be inferred from production scale, realised market-price ranges, mill utilisation and the spread between product prices and log, energy and freight costs.

THE REPORTED PERIMETER PLACES WOOD PRODUCTS INSIDE OTHER

Stora Enso moved Wood Products into the Other segment under the reporting structure effective 1 January 2026, according to the company on 25 March 2026. The independently verified FY2025 figures for Other were EUR 2,310 million of external sales, EUR 2,497 million of total segment sales including intersegment sales, and EUR 138 million of comparable EBIT in Stora Enso's Half-year Report published on 23 July 2026. External sales represented 24.8% of group revenue on the verified external-sales basis, while comparable EBIT represented 26.1% of group comparable EBIT. Those totals also contain Swedish forest assets, Growth activities, Central European Wood Products operations and Group functions, so they cannot be treated as a pure wood-conversion result. Any Wood Products split must consequently be labelled as an analytical allocation rather than reported segment disclosure.

WOOD PRODUCTS FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE

EUR 1,950m

MODEL ESTIMATE COMPARABLE EBIT

EUR 70m

MODELLED FY2025 EXTERNAL SALES

EUR 1,950m within reported Other

MODELLED FY2025 COMPARABLE EBIT

EUR 70m within reported Other

VALUATION BASIS

EUR 118.1m 2027E EBITDA × 6.9x

PLANNED SOFTWOOD PRODUCTION

5.4m m3/y in 2025

STRUCTURAL TIMBER PRICE

EUR 250–400/m3 in 2026

CLT PRICE

EUR 385–445/m3 in Q1 2026

PORTFOLIO ACTION

Seven Central European sawmills reviewed

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5

Wood Products (continued)

Business division deep dive — Commodity.

This report models EUR 1.9 billion of FY2025 external sales and EUR 70 million of comparable EBIT for Wood Products within the verified Other totals. The residual is the report's own estimate of EUR 410 million of external sales, calculated as EUR 2,310 million less EUR 1,900 million, and EUR 68 million of comparable EBIT, calculated as EUR 138 million less EUR 70 million, for forest assets and associated activities. The allocation is based on planned softwood production scale, product mix and reported market-price ranges while preserving the independently verified Other control totals. It does not imply that Stora Enso disclosed EUR 1.9 billion or EUR 70 million for Wood Products. This distinction is critical because forest fair-value movements, timber earnings and corporate costs have different economics from sawmilling and engineered-wood conversion.

PRODUCTION LEADERSHIP CREATES REACH, BUT NOT GUARANTEED RETURNS

Stora Enso was identified as Europe's leading softwood sawn-timber producer by planned 2025 production volume of 5.4 million cubic metres, according to Timber Online on 18 November 2025. Binderholz ranked second at 5.02 million cubic metres on the same basis and date, placing Stora Enso only 0.38 million cubic metres, or about 7.6%, ahead by the report's own calculations. At a broader global level, Fortune Business Insights estimated Stora Enso's wood-and-timber-products share at 11% in 2025, behind Georgia-Pacific at 14%, in figures published on 3 August 2026. Industry Research estimated West Fraser at 12% and Weyerhaeuser at 10% of global wood manufacturing in 2025, published on 14 April 2026. These third-party market-share estimates use broad definitions and are best read as evidence that Stora Enso is a top-tier producer rather than as a basis for deriving segment revenue.

Scale improves procurement, product breadth and the ability to serve large construction customers, but sawmilling remains a spread business. Structural-timber prices in Europe were reported at EUR 250–400 per cubic metre in 2026 by BuildAgent on 20 March 2026, while Central European CLT prices were EUR 385–445 per cubic metre in Q1 2026 according to Timber Insider on 14 July 2026. Multiplying the 5.4 million cubic metres of planned production by the EUR 325 midpoint of the structural-timber range would produce EUR 1.755 billion, which is the report's own arithmetic and not a revenue estimate. That calculation omits utilisation, grade mix, by-products, internal flows and the smaller engineered-wood volume sold at different prices. The analytical EUR 1.9 billion revenue allocation therefore reconciles to the reported Other perimeter rather than capitalising the highest observed price across all nameplate output.

08.5

Wood Products (continued)

Business division deep dive — Commodity.

CURRENT EVIDENCE SHOWS A CYCLE THAT STILL DEMANDS PORTFOLIO REPAIR

Weak construction can push even engineered-wood assets below cash profitability. West Fraser's North American Engineered Wood Products segment reported a negative 11% adjusted EBITDA margin in Q3 2025, according to West Fraser on 22 October 2025. Stora Enso's own decision to review seven sawmills and building-solutions operations across Austria, Czechia, Poland and Lithuania in 2026, announced by the company on 4 February 2026, confirms that scale alone has not produced acceptable returns across the Central European footprint. The permanent closure of the Veitsiluoto sawmill and concentration of pine production at Oulu and Kalajokki, announced by Stora Enso on 12 August 2026, is a direct response to fixed-cost duplication and weak site economics. These actions support the earnings case only if savings exceed closure costs and retained sites can absorb profitable volume.

- Stora Enso planned 5.4 million cubic metres of softwood sawn-timber production in 2025, ranking first in Europe, according to Timber Online on 18 November 2025.
- Binderholz planned 5.02 million cubic metres in 2025, ranking second among European softwood sawn-timber producers, according to Timber Online on 18 November 2025.
- Georgia-Pacific held an estimated 14% of the global wood-and-timber-products market in 2025, according to Fortune Business Insights on 3 August 2026.
- West Fraser held an estimated 12% of global wood manufacturing in 2025 and its North American Engineered Wood Products segment posted a negative 11% adjusted EBITDA margin in Q3 2025, according to Industry Research on 14 April 2026 and West Fraser on 22 October 2025.

ENGINEERED WOOD IS THE MIX OPPORTUNITY, NOT A CYCLICAL EXEMPTION

Engineered products such as CLT can command prices above commodity structural timber, as illustrated by the reported EUR 385–445 per cubic metre Central European CLT range in Q1 2026 versus EUR 250–400 for structural timber during 2026. At the midpoints, CLT's EUR 415 per cubic metre is EUR 90, or approximately 27.7%, above structural timber's EUR 325; both are the report's own calculations from the cited ranges. That spread is not equivalent to an EBITDA premium because engineered products incur additional drying, gluing, machining, certification, design and selling costs. They also remain exposed to project delays, interest rates and construction utilisation, as West Fraser's negative engineered-wood margin demonstrates. The value of mix improvement must therefore appear in consolidated EBITDA rather than in nominal selling prices alone.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5

Wood Products (continued)

Business division deep dive — Commodity.

UPM's board approved a plan to demerge and separately list its plywood business as WISA Group on 23 July 2026, according to UPM's Half-year Report on that date. The transaction provides a sector precedent for separating wood-product economics from a diversified forest-products group, although it does not supply a directly transferable multiple for Stora Enso's different asset mix. Greater disclosure could expose the contrast between competitive Nordic mills, weaker Central European sites and engineered-wood products. It could also reveal liabilities, maintenance requirements or cyclicity currently obscured within Other. Portfolio separation is therefore a transparency catalyst, while actual value creation still depends on sale proceeds, stranded costs and the profitability of retained capacity.

REGULATION AND INTEGRATED SOURCING CREATE A CONDITIONAL ADVANTAGE

The EU Deforestation Regulation is scheduled to apply to large and medium operators from 30 December 2026 following postponement, according to the European Commission on 20 January 2026. It requires traceability and geolocation for wood-based products, raising systems and supplier-verification requirements across the industry. Stora Enso's integrated fibre sourcing and experience managing forest information may make compliance easier than for fragmented competitors, but it does not eliminate implementation cost. The advantage is most credible where verified sourcing helps customers meet procurement or regulatory requirements without delaying deliveries. It should not be valued as a separate profit stream until evidence emerges of retained customers, price premiums or structurally lower compliance costs.

Construction-material substitution also depends on delivered affordability. Reported 2026 structural-timber prices of EUR 250–400 per cubic metre remain elevated relative to pre-crisis levels, according to BuildAgent on 20 March 2026, while Q1 2026 CLT prices of EUR 385–445 rose year on year according to Timber Insider on 14 July 2026. Elevated prices can support mill revenue but weaken wood's substitution case against other materials if log and energy costs do not fall in parallel.

Conversely, cheaper timber created by excess finished-product supply may compress EBITDA before it stimulates incremental construction demand. The key operating indicator is therefore the finished-product-to-sawlog spread at usable capacity, not the absolute timber price.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5

Wood Products (continued)

Business division deep dive — Commodity.

THE EUR 815 MILLION VALUE DEPENDS ON RESTRUCTURING AND A MEASURED RECOVERY

The bridge applies 6.9x to report-estimated 2027 EBITDA of EUR 118.1 million, yielding approximately EUR 815 million of enterprise value through visible arithmetic. Relative to the report's analytical FY2025 comparable EBIT allocation of EUR 70 million, the EBITDA requirement assumes depreciation plus a moderate recovery in conversion earnings rather than a return to peak construction conditions. The value is below one times the modelled EUR 1.9 billion of FY2025 external sales, at approximately 0.43x by the report's calculation. That low sales multiple reflects thin margins, cyclicity and uncertainty over the Central European review rather than a view that production assets lack strategic relevance. The 6.9x EBITDA multiple rewards scale and engineered-wood optionality while retaining a discount for mixed asset quality and limited segment disclosure.

Upside requires construction volumes to recover while sawlog, energy and freight costs remain controlled, allowing retained mills to lift utilisation without sacrificing price. Closing Veitsiluoto and concentrating pine production could raise EBITDA by removing duplicate fixed costs, while a sale or closure of reviewed Central European assets could reduce losses if transaction and stranded costs are contained. Downside arises if timber prices fall because demand weakens faster than log costs, if restructuring proceeds are below closure-adjusted asset value, or if EUDR compliance disrupts sourcing. A one-percentage-point EBITDA-margin change on the report's EUR 1.9 billion sales allocation equals EUR 19 million of EBITDA and approximately EUR 131 million of enterprise value at 6.9x, based on the report's own arithmetic. Evidence on retained-site utilisation, restructuring savings, Central European transaction terms and Wood Products disclosure within Other will determine whether the EUR 118.1 million EBITDA requirement is being met.

WOOD-PRODUCTS SCALE AND CYCLE COMPARISON

COMP ANY OR OPERATOR	COMPETITIVE POSITION	DATED SCALE OR PERFORMANCE FIGURE	SOURCE AND PUBLICATION DATE
Stora Enso Wood Products	Leading European softwood sawn-timber producer by planned volume	5.4m m3/y planned production in 2025; report-estimated FY2025 external sales EUR 1.9bn and comparable EBIT EUR 70m within verified Other totals	Timber Online, 18 November 2025; report estimate reconciled to Stora Enso Half-year Report, 23 July 2026
Binderholz	Second-largest European softwood sawn-timber producer by planned volume	5.02m m3/y planned production in 2025	Timber Online, 18 November 2025
Georgia-Pacific	Leading global wood-and-timber-products competitor	Estimated 14% global market share in 2025	Fortune Business Insights, 3 August 2026
West Fraser	Large diversified global wood-products producer	Estimated 12% global wood-manufacturing share in 2025; North American Engineered Wood Products adjusted EBITDA margin negative 11% in Q3 2025	Industry Research, 14 April 2026; West Fraser, 22 October 2025
Weyerhaeuser	Major North American wood-manufacturing and forest operator	Estimated 10% global wood-manufacturing share in 2025	Industry Research, 14 April 2026

08.6

Lignode Battery Materials Optionality

Business division deep dive — Emerging option.

THE OPPORTUNITY IS GRAPHITE REPLACEMENT, NOT A GENERIC BATTERY MARKET

Lignode seeks to displace anode material, principally graphite, rather than capture total battery-cell revenue. The graphite market was estimated at USD 3.12bn in 2025, while lithium-ion anode estimates conflict at USD 9.65bn and USD 26.3bn. A hard-carbon study estimated USD 6.3bn, but this may include categories and pricing not available to a new supplier. The valuation uses the smaller graphite-displacement pool as the disciplined reference and does not apply a multiple to the pre-revenue business.

At EUR 250m of 2030 revenue, the base-success leg would require roughly an 8% share of the USD 3.12bn graphite pool before currency translation. At an assumed EUR 10/kg selling price, below the reported USD 15–25/kg high-quality hard-carbon range, the required volume is 25,000 tonnes. The high-success leg assumes EUR 625m of revenue and 62,500 tonnes at the same price, requiring feedstock conversion beyond the current 50,000-tonne lignin extraction capacity unless yield and external supply are favourable. These are this report's estimates; exact carbon yield is undisclosed.

TECHNOLOGY EVIDENCE HAS MOVED BEYOND POWDER BUT NOT INTO QUALIFICATION

Stora Enso and Altris demonstrated 20Ah, 3V sodium-ion prototype cells on industrial-scale equipment in June 2025. Lignode's reported 1–2% charging expansion compares favourably with 6–7% for graphite, and its wider interlayer spacing may support sodium-ion performance. The EUR 10m Sunila pilot and 50,000-tonne lignin extraction capacity establish feedstock and process experience. A Södra agreement for up to 250,000 tonnes of kraft lignin from 2027 expands the theoretical scale route.

LIGNODE BATTERY MATERIALS
OPTIONALITY FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

COMPARABLE EBIT

Not separately reported

PROBABILITY-WEIGHTED EV

Approximately EUR 244m discounted

DEMONSTRATED CELL

20Ah, 3V sodium-ion prototype in 2025

EXISTING LIGNIN CAPACITY

50kt/y at Sunila

CONTRACTED FEEDSTOCK

Up to 250kt/y from 2027

REQUIRED 2030 REVENUE

EUR 250m base-success leg

REQUIRED 2030 VOLUME

25kt at EUR 10/kg report estimate

INCUMBENT CONCENTRATION

Chinese suppliers 93.3–96.0%

NEXT GATE

Named customer qualification and scale economics

08.6

Lignode Battery Materials Optionality (continued)

Business division deep dive — Emerging option.

The missing step is customer qualification in a commercial cell configuration. Chinese suppliers control an estimated 93.3–96.0% of anode installations, with Shanshan at 21.3% and BTR at 18.0%. A European, bio-based supply proposition can be strategically attractive, but it must match consistency, cycle life, first-cycle efficiency and cost. Northvolt's bankruptcy and subsequent asset sale to Lyten illustrate partner and ecosystem risk even when technology development progresses.

OPTION VALUATION EXPLICITLY RETAINS A 50% FAILURE OUTCOME

The first option leg models EUR 40m of 2030 EBITDA at 10.0x with a 30% probability. It represents EUR 250m revenue, a 16% margin and approximately 25kt of output. The second models EUR 100m EBITDA at 10.0x with a 20% probability, representing EUR 625m revenue, a 16% margin and approximately 62.5kt. Discounted at the model's 7% long-term WACC, the combined expected EV is approximately EUR 244m.

The remaining 50% probability is zero because no named battery-cell customer has publicly completed commercial qualification and full-scale plant capex remains unannounced. This failure probability is not a demand forecast; it is the chance that performance consistency, carbon yield, scale cost or customer qualification prevents an investable business. The option rises only when evidence closes those gaps. Market-size reports alone do not alter the probability.

WHAT WOULD CHANGE THE OPTION

A named multi-year offtake, independently verified cycle data and a disclosed full-scale plant budget would support moving probability from failure to success. Evidence that finished material can sell near EUR 10/kg with a competitive cash cost would validate the modeled margin. Conversely, qualification delays, partner failure or a requirement for capex disproportionate to EUR 40–100m EBITDA would drive the value toward zero. The option is strategically interesting but only 2.2% of group EV.

HARD-CARBON QUALIFICATION AND COMPETITIVE SCALE

SUPPLIER/PROJECT	SCALE OR SHARE	TECHNOLOGY EVIDENCE	COMMERCIAL STATUS
Stora Enso Lignode	50kt/y lignin capacity	20Ah sodium-ion cell (2025)	Qualification pending
Shanshan	21.3% anode installs (2025)	Commercial anode portfolio	Global incumbent
BTR	18.0% anode installs (2025)	Commercial anode portfolio	Global incumbent
Chengdu Baisige	10kt/y biomass hard carbon	Biomass-based hard carbon	Capacity achieved in 2024
Kuraray	~2kt/y hard carbon (2025)	Named hard-carbon competitor	Commercial niche supplier

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Forests secure fibre and retain timber inflation, but separation will convert an internal transfer into an external wood-price negotiation. Higher timber prices help Forest Assets while pressuring packaging, pulp and sawmill conversion spreads.

Consumer Packaging absorbs the largest recent growth investment. Its cash recovery must fund debt reduction before Lignode can justify material commercial capex. Biomaterials and Integrated Packaging provide cyclical cash support, but both can weaken simultaneously when industrial demand falls.

Wood Products and pulp share wood, energy and logistics infrastructure. Portfolio closures can improve utilisation across the remaining system, although lost internal volumes may reduce procurement scale. Lignode uses a by-product stream, potentially raising wood value without competing directly for logs.

BRIDGE MECHANICS

Each profit engine is valued on modelled EBITDA and a peer- or history-bracketed EV multiple. Lignode uses two discounted success legs, while the locked net debt and other adjustment are applied only once at group level.

The quoted EV is 8.01x 2026E EBITDA and 17.49x EBIT. The EBITDA multiple is close to the 7.90x normalised history, while the EBIT multiple reflects heavy depreciation and low current returns.

Peers trade at a 9.2x median 2026E EV/EBITDA and 8.0x in 2027E. Stora Enso deserves no blanket peer premium because 2026E ROE is 2.1% and FCFF is only EUR 6m.

The reverse valuation prices EBIT margins of 4.0% in 2026 and 3.1% in 2027 before a long recovery to 11.2%. The followed model is less pessimistic near term at 6.8% and 8.7%, but still forecasts returns below WACC.

The apparent contradiction is resolved by asset mix: forests support EV while industrial capital depresses ROE and cash conversion. The current price is therefore broadly consistent with the assembled parts rather than clearly mispriced.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Bear: revenue is EUR 9.3bn, EBITDA EUR 1.2bn and margin 12.9%. Oulu ramp costs persist, packaging utilisation stays weak, pulp pricing remains below European cash cost and the forest separation receives a value haircut. Lignode is valued at zero.

Base: revenue reaches EUR 9.68bn, EBITDA EUR 1.47bn and margin 15.2%. Oulu progresses toward 2027 capacity, but without premium mature margins; pulp and corrugated spreads normalise only partially. Forest value is maintained near transaction-supported levels and Lignode retains probability-weighted value.

Bull: revenue reaches EUR 10.05bn, EBITDA EUR 1.65bn and margin 16.4%. Oulu earns a mid-teens mature EBITDA margin, packaging operating rates tighten, low-cost pulp assets capture a stronger cycle and wood restructuring succeeds. Higher cash generation reduces scenario net debt, while Lignode receives its high-success leg rather than the probability-weighted midpoint.

BOTTOM LINE

The forest estate is valuable, Oulu is strategically credible and the industrial portfolio has recovery potential, but the current valuation already recognises those facts after debt and execution risk. HOLD is appropriate until free cash flow—not only adjusted EBIT—confirms that the asset base can earn its cost of capital.

FINANCIAL BRIDGE · PART 1

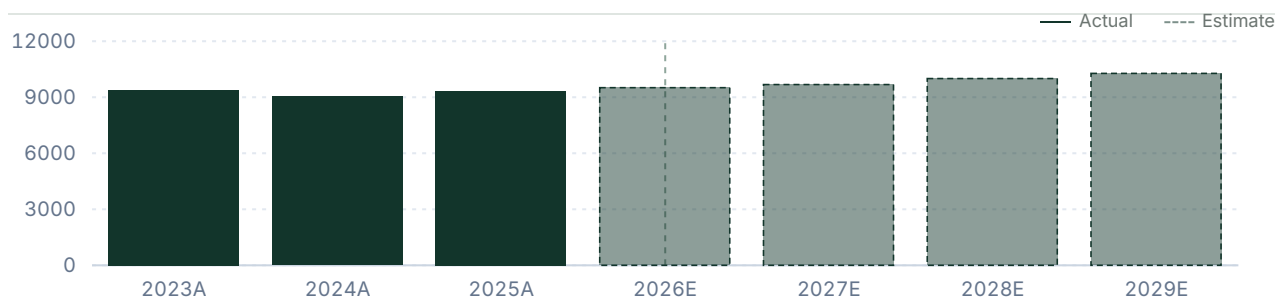
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

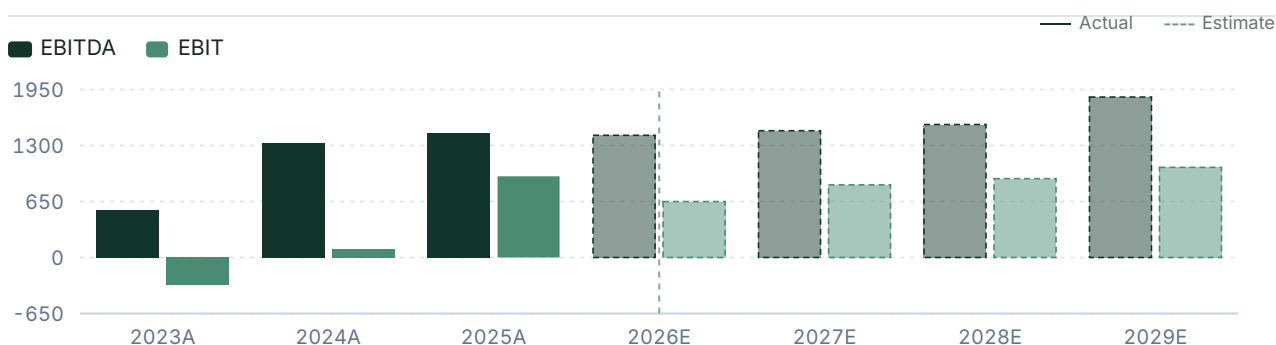
Net sales

EUR millions



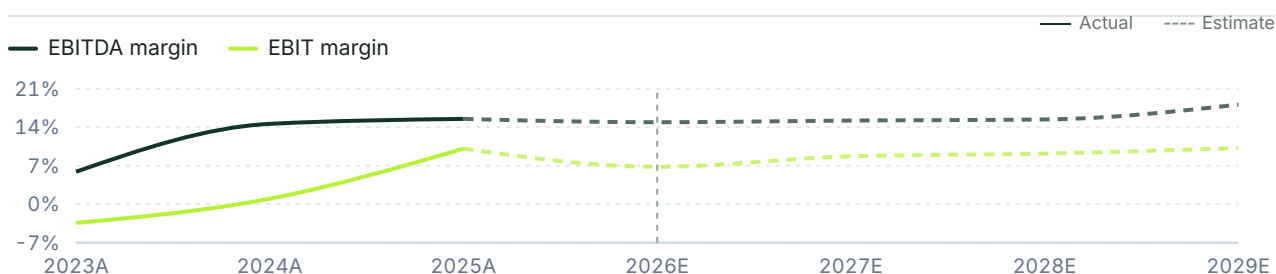
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

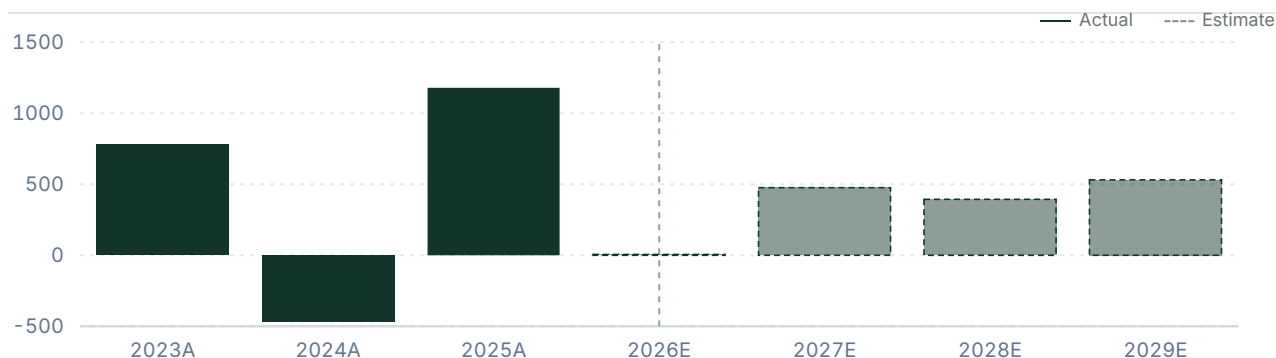
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

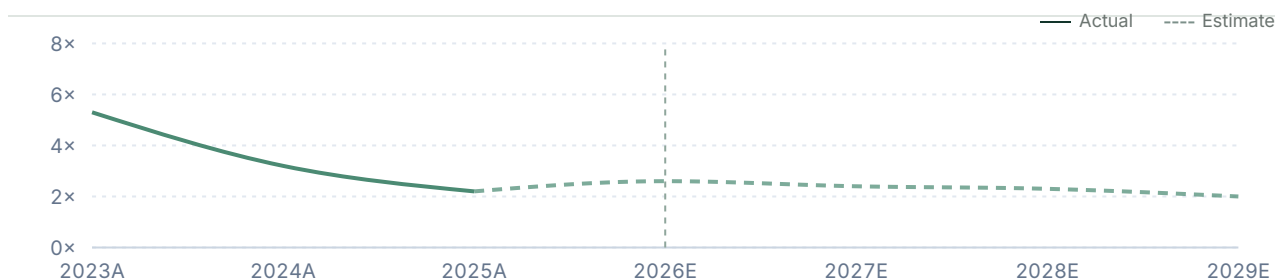
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025 A	2026 E	2027 E	2028 E	2029 E
Net Sales	9,326	9,512	9,679	10,001	10,277
EBITDA	1,449	1,418	1,471	1,543	1,862
Comparable EBIT	942	649	843	915	1,046
Net Earnings	686	228	539	601	607
EPS (EUR)	0.9	0.3	0.7	0.8	0.8
DPS (EUR)	0.3	0.2	0.6	0.6	0.6

E = Valuatium estimate (not yet actualised)

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is necessary because transaction-supported forests, packaging ramps, commodity pulp, construction-linked wood and pre-revenue battery materials have different risk and duration. Profit engines use modelled 2027 EBITDA and multiples inside Stora Enso's 7.90x normalised history and relevant peer brackets; Forest Assets receive a 10.0x cash-yield multiple supported by direct land transactions. Lignode uses discounted probability-weighted 2030 legs. The group sensitivity shows that a one-turn multiple change on 2027 EBITDA is material, but it cannot replace division-specific asset and option treatment.

The sensitivity below varies the largest option division's combined success probability and its blended exit EV/EBITDA multiple; the separate profit-engine grid varies profit-engine EBITDA and EV/EBITDA.

What the market is pricing.

The five profit engines contribute EUR 11.1 billion of EV in this framework. The current EUR 11.4 billion EV therefore leaves EUR 244m for Lignode, equal to the discounted value of 30% probability on EUR 400m and 20% on EUR 1 billion by 2030. The market price is thus consistent with the report's 50% aggregate failure probability rather than requiring a major battery-materials success.

The market assumes Gross Swedish forest fair value can be treated as distributable equity without deductions. We assign a different reading: The report limits Forest Assets to EUR 6.0bn EV because deferred tax, debt allocation, separation costs and wood-supply terms remain unresolved. (Stora Enso, 14 November 2025; retained Swedish fair value EUR 5.7bn and demerger subject to approvals)

The market assumes Oulu's EUR 800m mature sales automatically deserve a premium packaging multiple. We assign a different reading: The report uses 8.0x only on EUR 275m segment EBITDA because the line was behind internal volume plans and still requires bottleneck work. (Stora Enso, 23 July 2026; longer Q3 shutdown planned before full capacity during 2027)

Two enterprise values, two questions. The division pages allocate today's market enterprise value across the divisions; the target-price bridge states what each is worth on this report's own estimates. For Lignode Battery Materials Optionality the two readings are 244 m allocated and 245 m warranted.

HISTORICAL AND FORECAST MULTIPLES								
METRIC	2020A	2021A	2022A	2023A	2024A	2025A	2026E	NORM. AVG. 2020-2025 (OUTLIERS DROPPED)
P/E	20.04x	10.03x	6.75x	-22.93x	-41.89x	12.31x	34.04x	12.28x
P/E adj.	20x	10x	7x	-23x	-42x	12x	34x	12x
EV/EBITDA	10.44x	7.16x	4.98x	22.89x	8.93x	8.00x	8.01x	7.90x
EV/EBIT	16.77x	9.67x	6.33x	-39.52x	127.18x	12.30x	17.49x	11.27x
EV/Sales	1.81x	1.49x	1.09x	1.35x	1.31x	1.24x	1.19x	1.38x
P/FCF	-262.20x	58.89x	-108.97x	12.68x	-16.35x	7.16x	1316.11x	9.92x
P/BV	1.40x	1.19x	0.83x	0.90x	0.76x	0.78x	0.72x	0.98x
P/S	1.44x	1.25x	0.89x	1.05x	0.85x	0.91x	0.81x	1.06x
Dividend yield	1.9%	1.9%	4.2%	4.8%	2.1%	2.3%	2.4%	2.5%

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2027E EV/EBITDA	2027E EBIT MARGIN
Stora Enso	8.01x	7.72x	8.7%
UPM	8.5x	8.2x	13.0%
Metsä Board	6.0x	5.9x	6.5%
Holmen	10.3x	11.2x	15.3%
SCA	12.2x	13.4x	13.9%
Smurfit Westrock	9.1x	7.9x	9.4%
Mayr-Melnhof	6.5x	5.7x	5.7%
Suzano	4.6x	4.6x	28.0%
Borregaard	9.3x	9.0x	16.9%
Peer median	8.8x	8.1x	13.4%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Consumer Packaging	2027E Modelled EBITDA	275	8.0x	2.8 EUR	
· Integrated Packaging	2027E Modelled EBITDA	150	6.0x	1.1 EUR	
· Biomaterials	2027E Modelled EBITDA	200	6.0x	1.5 EUR	
· Wood Products	2027E Modelled EBITDA	118.116	6.9x	1.0 EUR	
· Forest Assets	2027E Modelled sustainabl...	600	10.0x	7.6 EUR	
· Lignode Battery Materials Optionality (probability-weighted)	Expected enterprise value	n/a	n/a	0.3 EUR	
· · qualified niche scale	2030E Modelled EBITDA at ...	40	10.0x	0.5 → 0.1 EUR	30% prob.
· · commercial scale	2030E Modelled EBITDA at ...	100	10.0x	1.3 → 0.2 EUR	20% prob.
Sum of the parts	2026E Sum of profit-engin...	n/a	n/a	9.8 EUR	100%
Weighted target price				9.8 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

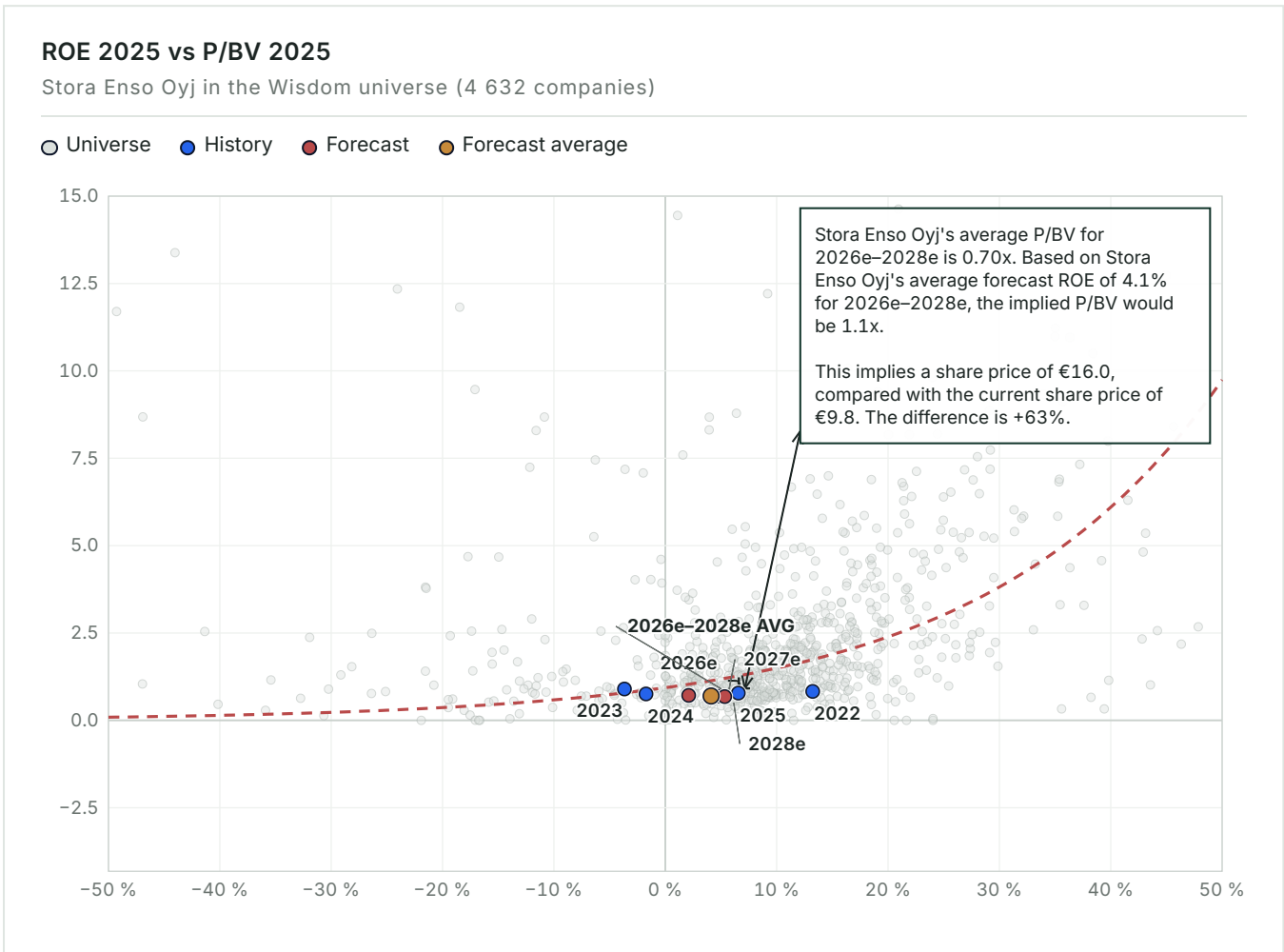
SUCCESS PROBABILITY ↓ / BLENDED OPTION EV/EBITDA →	7.0X	8.5X	10.0X	11.5X	13.0X
25%	9.6	9.6	9.7	9.7	9.7
37.5%	9.7	9.7	9.7	9.8	9.8
50% (bridge case)	9.7	9.8	9.8	9.9	9.9
62.5%	9.8	9.8	9.9	10.0	10.0
75%	9.8	9.9	10.0	10.0	10.1

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Stora Enso's 2026–2028 average forecast ROE of 4.1% and P/BV of 0.7x compare with a 1.1x universe curve-implied P/BV, equivalent to about EUR 16 per share on EUR 14.1 average book value. The 63% statistical gap is not adopted as the target because accounting book value includes forest and industrial assets with very different cash yields; the scatter is a rerating reference, not a substitute for SOTP.

MULTIPLES & SENSITIVITY

19

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026 E
P/E	34.0×
EV/EBITDA	8.0×
EV/EBIT	17.5×
P / Valuatum FOCF	1316.1×
P/BV	0.7×
Dividend Yield	2.4%
Net Debt / EBITDA	2.6×

E = Valuatum estimate (not yet actualised)

EBITDA × EV/EBITDA sensitivity						
2027E GROUP EBITDA EV/EBITDA →	6.0×	7.0×	8.0×	9.0×	10.0×	
-20% EUR 1,134m	EUR 6,804m EUR 4.00 / sh	EUR 7,938m EUR 5.50 / sh	EUR 9,072m EUR 6.90 / sh	EUR 10,206m EUR 8.40 / sh	EUR 11,340m EUR 9.80 / sh	
-10% EUR 1,276m	EUR 7,656m EUR 5.10 / sh	EUR 8,932m EUR 6.70 / sh	EUR 10,208m EUR 8.40 / sh	EUR 11,484m EUR 10.00 / sh	EUR 12,760m EUR 11.60 / sh	
Base EUR 1,418m	EUR 8,508m EUR 6.20 / sh	EUR 9,926m EUR 8.00 / sh	EUR 11,344m EUR 9.80 / sh	EUR 12,762m EUR 11.60 / sh	EUR 14,180m EUR 13.40 / sh	
+10% EUR 1,560m	EUR 9,360m EUR 7.30 / sh	EUR 10,920m EUR 9.30 / sh	EUR 12,480m EUR 11.20 / sh	EUR 14,040m EUR 13.20 / sh	EUR 15,600m EUR 15.20 / sh	
+20% EUR 1,702m	EUR 10,212m EUR 8.40 / sh	EUR 11,914m EUR 10.50 / sh	EUR 13,616m EUR 12.70 / sh	EUR 15,318m EUR 14.80 / sh	EUR 17,020m EUR 17.00 / sh	

SCENARIO VALUATION

20

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	9,300	1,200	12.9%	9.3×	11,115	7,502	EUR 9.51	-3.1%
Base	9,679	1,471	15.2%	7.7×	11,360	7,748	EUR 9.82	0.0%
Bull	10,050	1,650	16.4%	7.2×	11,882	8,269	EUR 10.49	+6.8%

KEY CONDITIONS

The bear case combines weaker industrial EBITDA with a forest-value haircut and zero Lignode value. The base case preserves transaction-supported forests and probability-weights Lignode. The bull case requires Oulu qualification, better packaging utilisation, resilient pulp spreads and materially stronger cash generation, so net debt falls rather than remaining fixed despite higher earnings. Each scenario is priced in the target-price bridge's own grammar: the profit engines as modelled plus Lignode Battery Materials Optionality at zero (Bear), at the bridge's probability weighting (Base) and at the best single scenario leg with certainty (Bull). The multiple column is therefore the implied group EV/EBITDA at that value, not a selected multiple. The code-verified 12-month target of EUR 9.8 sits between Bear and Base (Bear EUR 9.5, Base EUR 9.8, Bull EUR 10.5); its method weights are shown in the Target Price Bridge.

THESIS BREAKER

If Oulu remains structurally below target cost while the forest separation crystallises a material post-tax NAV discount, the base valuation fails.

CATALYSTS

21

Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Q3 maintenance installs Oulu bottleneck-re-moval equipment	NEAR-TERM	Consumer Packaging	Post-shutdown qualified output and margin	Validates or cuts the EUR 275m EBITDA base
FY2026 adjusted EBIT versus EUR 644.6m consensus	NEAR-TERM	Consumer Packaging	H2 adjusted EBIT and ramp contribution	Tests industrial earnings recovery
Skutskär softwood closure completed	NEAR-TERM	Biomaterials	Loss removal and pulp mix	Supports through-cycle EBITDA
Central European sawmill review concludes	MEDIUM-TERM	Wood Products	Sale, closure or restructuring terms	Could remove low-return capital
Bergslagens skogar de-merger terms published	MEDIUM-TERM	Forest Assets	Debt, tax and wood-supply allocation	Reconciles gross NAV to equity value
Oulu reaches full name-plate capacity	MEDIUM-TERM	Consumer Packaging	750kt output and realised margin	Determines packaging rerating
Named Lignode commercial qualification	LONG-TERM	Lignode Battery Materials Optionality	Offtake, cycle data and plant plan	Raises option probability
READ - THROUGH The demerger prospectus is the largest asset-value catalyst because it should disclose debt, tax, costs and supply agreements. Lignode remains a later catalyst: only customer qualification and commercial economics warrant moving probability, whereas another prototype does not.				

RISKS

Risk register

22

Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Oulu fails to reach target production cost	Consumer Packaging	Low yield and downtime dilute price and fixed-cost absorption	Qualified volume stalls after Q3 shutdown	HIGH	THEESIS BREAKER
Forest value leaks through separation terms	Forest Assets	Debt, deferred tax and supply contracts reduce distributable NAV	Demerger terms imply value below EUR 4,750/ha	HIGH	THEESIS BREAKER
European packaging overcapacity persists	Integrated Packaging	Low utilisation prevents price increases from covering fibre costs	Operating rates remain near or below 84%	HIGH	STRUCTURAL
Pulp price remains below European cash cost	Biomaterials	Low-cost new supply compresses mill and joint-venture earnings	Futures fall from CNY 4,848/t	HIGH	MANAGEABLE
Construction recovery is delayed	Wood Products	Low sawmill utilisation and weak lumber spread prolong losses	Further mill curtailments or closures	MEDIUM	MANAGEABLE
Working capital absorbs operating improvement	Integrated Packaging	Receivables and inventory delay debt reduction	Repeated negative working-capital cash flow	MEDIUM	MANAGEABLE
Lignode commercial qualification fails	Lignode Battery Materials Optionality	Performance, consistency or cost blocks customer adoption	No named offtake or full-scale capex plan	LOW	STRUCTURAL
READ - THROUGH Commodity risks should be monitored through spreads rather than headline prices. Higher board prices can coexist with worse margins if fibre rises faster, while lower timber prices can help packaging but damage Forest Assets and Wood Products. Lignode failure has limited group impact because only EUR 244m is allocated to the option.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023 A	2024 A	2025 A	2026 E	2027 E	2028 E
Net Sales	9,396	9,049	9,326	9,512	9,679	10,001
EBITDA	556	1,324	1,449	1,418	1,471	1,543
EBITDA margin	5.9%	14.6%	15.5%	14.9%	15.2%	15.4%
Depreciation	-878	-1,231	-507	-769	-628	-628
Operating Profit (EBIT)	-322	93	942	649	843	915
EBIT margin	-3.4%	1.0%	10.1%	6.8%	8.7%	9.2%
Net financial items	-173	-211	-159	-352	-114	-103
Pre-tax Profit	-495	-118	783	297	729	812
Net Earnings	-431	-183	686	228	539	601
PER SHARE						
EPS	-0.6	-0.2	0.9	0.3	0.7	0.8
DPS	0.6	0.2	0.3	0.2	0.6	0.6
Payout ratio	-109.8%	-86.2%	28.7%	80.0%	80.0%	80.0%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023 A	2024 A	2025 A	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	7,135	7,489	7,122	7,477	7,608	7,861
Intangibles	392	350	295	301	306	316
Goodwill	505	162	171	171	171	171
Non-current assets	14,565	14,877	14,858	15,219	15,355	15,619
Inventories	1,413	1,585	1,802	1,778	1,809	1,869
Receivables	2,177	1,132	965	1,002	1,020	1,054
Cash & equivalents	2,464	1,999	1,212	1,539	1,566	1,618
Current assets	6,054	4,716	3,979	4,319	4,395	4,541
Total Assets	20,754	19,802	19,059	19,760	19,972	20,382
EQUITY & LIABILITIES						
Equity	10,888	9,988	10,649	10,679	11,037	11,206
Long-term debt	4,183	3,889	3,093	2,398	2,302	2,379
Short-term debt	691	1,841	913	2,398	2,302	2,380
Long-term liabilities	4,238	3,621	3,356	2,661	2,565	2,642
Current liabilities	3,674	4,232	3,277	4,644	4,587	4,738
Total liabilities & equity	20,754	19,802	19,059	19,760	19,972	20,382
CAPITAL STRUCTURE & RATIOS						
Net debt	2,930	4,276	3,257	3,718	3,508	3,622
Capital invested	13,298	13,719	13,443	13,936	14,075	14,347
Equity ratio	52.5%	50.4%	55.9%	54.0%	55.3%	55.0%
Gearing	26.9%	42.8%	30.6%	34.8%	31.8%	32.3%
Net debt / EBITDA	5.3×	3.2×	2.2×	2.6×	2.4×	2.3×
Current ratio	1.7	1.1	1.2	0.9	1	1

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023 A	2024 A	2025 A	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	917	1,329	1,116	866	1,157	1,208
Operating cash flow (Valuatum calculation)	999	1,397	1,136	1,135	1,241	1,285
Change in working capital	-474	-281	77	131	11	20
INVESTING & FREE CASH						
Gross capex	397	1,543	488	1,129	765	891
Capex (ex. M&A)	-397	-1,543	-488	-1,129	-765	-891
Cash after capex (CFO - gross capex)	520	-214	628	-264	392	317
Free operating cash flow (Valuatum def.)	779	-469	1,179	6	476	394
Free cash flow to firm	779	-469	1,179	6	476	394
FINANCING						
CF from financing	92	-159	-1,300	591	-365	-265
Dividends paid	-434	-473	-158	-197	-182	-432
Net change in cash	612	-373	-672	327	27	52

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,164	2,301	2,261	2,322	2,362	2,426	2,283	2,254
EBITDA	263	274	265	582	288	194	358	615
EBITDA margin	12.2%	11.9%	11.7%	25.1%	12.2%	8.0%	15.7%	27.3%
Comparable EBIT	145	148	139	-279	171	64	237	476
EBIT margin	6.7%	6.4%	6.1%	-12.0%	7.2%	2.6%	10.4%	21.1%
Net Earnings	72	38	84	-379	107	15	201	364
EPS	0.1	0.1	0.1	-0.5	0.1	0	0.3	0.5

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	2,358	2,423	2,360	2,371
EBITDA	270	185	373	590
EBITDA margin	11.5%	7.6%	15.8%	24.9%
Comparable EBIT	130	7	178	334
EBIT margin	5.5%	0.3%	7.6%	14.1%
Net Earnings	35	-11	69	139
EPS	0	-0	0.1	0.2

E = Valuatum estimate (not yet actualised)

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Direct links for the evidence used in the report.

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	VALUE	CATEGORY	USED IN
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Share-price history and market profile	Financial Modeling Prep, STERV.HE financialmodelingprep.com	MARKET DATA	Price chart & market facts
Stora Enso Half-year Report 2026	mb.cision.com/.../b55d5e6ef243b152.pdf	OFFICIAL SOURCE	Reported segment table
Stora Enso completed the divestment of 175,000 hectares (12...	www.storaenso.com	OFFICIAL SOURCE	Catalysts and risks
The Board of Directors decided to separate the Swedish fore...	www.storaenso.com	OFFICIAL SOURCE	Catalysts and risks
Stora Enso implemented a new financial reporting structure...	www.storaenso.com	OFFICIAL SOURCE	Catalysts and risks
Stora Enso exercised its right for the early redemption of...	www.storaenso.com	OFFICIAL SOURCE	Catalysts and risks
Stora Enso initiated a strategic review of its Central Euro...	www.storaenso.com	OFFICIAL SOURCE	Catalysts and risks
Tuomas Hallenberg assumed the role of President and CEO of...	www.storaenso.com	OFFICIAL SOURCE	Catalysts and risks
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Stora Enso's demerged Swedish forest entity, Bergslagens sk...	www.storaenso.com/.../regulatory-releases	OFFICIAL SOURCE	Forest Assets deep dive

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Stora Enso reported a 27% increase in Group adjusted EBIT f...	www.prnewswire.com/.../stora-enso-half-year-report-2026-opti...	OFFICIAL SOURCE	Biomaterials deep dive
Stora Enso's Biomaterials division recorded an adjusted Ret...	www.storaenso.com/.../storaenso_interim_report_q2_2024.pdf	OFFICIAL SOURCE	Biomaterials deep dive
Stora Enso achieved FSSC 22000 food safety certification fo...	www.storaenso.com	OFFICIAL SOURCE	Biomaterials deep dive
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Management guided that Q3 2026 planned maintenance impact i...	www.storaenso.com/.../quarterly-update	OFFICIAL SOURCE	Research evidence
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The Oulu BM6 line is expected to reach full nameplate capac...	www.storaenso.com/.../stora-enso-half-year-report-2026	OFFICIAL SOURCE	Consumer Packaging deep dive
The production line was formally inaugurated on 18 August 2...	www.storaenso.com	OFFICIAL SOURCE	Consumer Packaging deep dive
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The Oulu ramp-up contributed to an estimated negative EBIT...	www.storaenso.com	OFFICIAL SOURCE	Consumer Packaging deep dive
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Stora Enso's joint-venture mills, Montes del Plata (Uruguay...	www.storaenso.com/.../investor-kit	OFFICIAL SOURCE	Biomaterials deep dive
Metsä Board is the leading producer of folding boxboard (FB...	www.metsagroup.com/.../investors	MARKET DATA	Consumer Packaging deep dive
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Actual Cash flow after investing activities (Free Cash Flow...	www.investing.com	MARKET DATA	Research evidence
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Stora Enso will permanently close softwood pulp production...	www.storaenso.com	MARKET DATA	Biomaterials deep dive
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The initial pilot plant for Lignode located at the Sunila s...	www.storaenso.com	MARKET DATA	Lignode Battery Materials Optionality deep dive

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Metsä Group's owner-members own more than half of Finland's...	www.metsagroup.com	MARKET DATA	Forest Assets deep dive
Shanshan Technology is the global market leader in battery...	www.sneresearch.com/.../0	MARKET DATA	Lignode Battery Materials Optionality deep dive
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Stora Enso's Sunila site maintains an annual lignin extract...	bioenergyinternational.com	MARKET DATA	Lignode Battery Materials Optionality deep dive
The Northvolt Ett factory, a primary partner for Lignode's...	www.swedenherald.se	MARKET DATA	Lignode Battery Materials Optionality deep dive
The global molded pulp packaging market size estimate for 2...	straitsresearch.com/molded-pulp-packaging-market	MARKET DATA	Catalysts and risks

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